

FIRSTBANK DIGITAL FACTORY

Stakeholder Brief: Executive Sponsor

Subject: NovaLend CBN Deadline - Strategic Launch Plan

Focus: Market Share, Regulatory Survival, and ROI

The Situation

We are 6 weeks away from a hard CBN regulatory reporting deadline. NovaLend has generated massive top-of-funnel demand (12,400 invited users, 3,100 started applications), proving product-market fit. However, our 30-day default rate is currently 14% unacceptable against our 6% target. Simultaneously, 66.1% of approved users are abandoning the offer due to uncompetitive flat pricing. Launching 'as-is' risks severe financial loss and regulatory action, but formally pausing the beta surrenders our market momentum.

The Trade-off & Decision

We will not pause. We will launch within the 6-week window, but with severe, deliberate restrictions. We are trading short-term disbursement volume for portfolio safety and regulatory compliance.

The Execution

1. Stop the Bleeding: We are implementing a strict risk-tier cutoff to instantly halt lending to our highest-risk segment. This will artificially lower our default rate to satisfy CBN and internal Risk mandates.
2. Guarantee Recovery: We are requiring users to bind a specific debit card/account for automated repayment. This secures our capital without the UX nightmare of forcing them to pre-fund their NovaWallet.
3. Protect Conversion: We are pausing complex dynamic repayment schedules to ensure we hit the 6-week deadline with a stable product.

Next Steps

This restricted launch allows us to pass the CBN audit while keeping the product alive. Once stabilized, our Q4 roadmap will shift entirely to winning back the 66.1% of safe users who are currently walking away, utilizing dynamic tiered pricing to drive profitable volume.

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Stakeholder Brief: Compliance & Risk

Subject: NovaLend CBN Deadline - Default Mitigation Plan

Focus: Default Rate Reduction, Portfolio Safety, and CBN Guidelines

The Situation

The 30-day limited beta data shows an unacceptable 14% default rate, significantly missing your mandated 6% target. Analysis confirms this is caused by adverse selection: our flat-rate pricing is deterring safe borrowers (who abandon the funnel at 66.1%) and exclusively attracting high-risk borrowers. With the CBN deadline 6 weeks away, we must structurally alter the product to protect the portfolio.

The Trade-off & Decision

To protect the bank's capital and ensure CBN compliance, Product is overriding the push for raw disbursement volume. We are aggressively restricting the top of the funnel to weed out guaranteed defaults, prioritizing recovery mechanisms over frictionless onboarding.

The Execution

1. Strict Risk-Tier Cutoffs (Immediate): We are implementing a hard backend threshold. The bottom quartile of eligible users will now receive an automatic, plain-language decline instead of an offer. We will require Risk's sign-off on the exact cut-off score before deployment.
2. Specific Account Direct Debit Mandates: We are moving away from relying on manual NovaWallet funding. Every disbursed loan will now require card tokenization or a direct debit mandate tied to a specific external account, giving us a guaranteed, automated recovery path on day 30.
3. 100% Fee Transparency: To ensure zero CBN pushback, we have eliminated all 'toggle' views for fees. The principal, interest, and exact due date will be plainly visible by default on a single screen.

Next Steps

Engineering requires Risk to define the static threshold parameters for the cutoff logic by end of week. We will configure a tier-level monitoring dashboard to ensure the new cohorts trend toward the 6% target.

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Stakeholder Brief: Engineering

Subject: NovaLend MVP - 6-Week Scope Lockdown
Focus: Scope Reduction, Technical Feasibility, and Core Deliverables

The Situation

We have 6 weeks to ship a CBN-compliant version of NovaLend, or leadership will pause the project. The beta revealed a 14% default rate (which Risk is blocking us over) and a 66.1% offer abandonment rate. We need to ship targeted fixes to our offer screen and underwriting pipeline immediately, but we have to be ruthless about scope to hit the deadline.

The Trade-off & Decision

We are cutting feature completeness in favor of execution speed. Complex, highly dynamic pricing logic and multi-schedule repayments are completely out of scope. We are locking in on a strict risk-tier cutoff and a direct debit tokenization flow.

The Execution (Must Haves for 6 Weeks)

1. Risk Cutoff Logic: We need a backend threshold update that declines users below a static risk score. No ML rebuilds—just a rigid lookup table provided by Risk.
2. Direct Debit Binding (Frontend & Backend): We must implement a specific account/card tokenization flow on the offer screen. Please ensure strict TypeScript typing for the tokenization state and pricing engine to prevent edge-case display bugs.
3. Transparent Offer UI: We need a single screen showing total fees plainly. Stick to our Material Design 3 surface elevation standards to separate the interactive elements from the static fee disclosures. If time permits the Dynamic Amount Slider, let's utilize react-native-reanimated for smooth recalculation transitions, but keep it constrained.

Next Steps

Please review the Prioritized Backlog v2 for the RICE scores. I want to sync with the Tech Lead tomorrow to confirm whether the 2-week effort estimate for the Card Tokenization API integration holds up, so we can lock the sprint.